009150.KS - Samsung Electro-Mechanics | Full investment artifact

Full investment research | Model assumptions and source evidence

Research date: 12 October 2026; MLCC margin and ABF pricing updates; financial anchor Q2 2026 | **Framework:** 8.0 | **Format:** standalone current-state analysis **Status:** Full Framework 8.0 artifact; quarterly model through Q4 2030 | **Classification:** BOTTLENECK in selected high-capacitance MLCC and advanced substrates; competitive multi-product supplier **Artifact Base:** 47/60 = **78% - High Conviction** | **Portfolio Excel Base:** 78% (current saved value after the prior owner-authorized override removal; unchanged by this update) **Valuation denominator:** 77.600680M gross common-equivalent shares, including preferred shares. **Active model price target:** Q4 2027 **KRW 1,334,336 per share**, pricing Q4 2027-Q3 2028 at the sanctioned 20x operating-profit multiple. The complete calculation retains full precision below.

The dated capacitor orders strengthen 2027-28 visibility. The model captures that expansion while modeling commercial glass production from 2028, separating SiCap contract phasing and including preferred-share claims in the denominator. Portfolio Base remains protected.

1. Supercycle, supply chain and durable advantage

AI processors, power delivery and faster optical networks require more capacitance in less space, with greater temperature and reliability demands. Qualified ceramic and silicon capacitors and larger multilayer substrates solve different parts of this problem. Automotive electronics and camera complexity add a second growth source. The moat rests on ceramic processing, yield, qualification and customer integration; neither all MLCCs nor all substrates are a monopoly.

Ceramic powders and electrode materials → multilayer fabrication, sintering and qualification → MLCC; silicon processing → low-inductance SiCap; glass/resin/copper → package substrate → processor/system assembly. SEMCO captures component and substrate value, not the accelerator or server selling price. Optics supplies modules at a separate point in the chain. Competitors and customers can qualify alternatives, but yield and reliability extend qualification timelines.

Business / curve	Stage	Evidence and next inflection
AI premium MLCC	Scaling, 25-50% qualitative band	Shipping today; content and thermal requirements rise with new platforms.
SiCap	Early, below 25% band	First large disclosed two-year contract starts January 2027.
Glass-enabled substrates	Pre-commercial, below 10% band	2028 full-scale target; qualification and manufacturing remain gates.
Automotive/robotics optics	Auto scaling; humanoids early	Existing auto shipments versus new low-volume robot designs.

Stage percentages are qualitative framework bands relative to a possible mature opportunity, not measured market penetration. A current capacity constraint can coexist with a larger long-term TAM; qualification and economic capture decide how much reaches this company.

2. Forward TAM and the three-phase expansion lens

Phase	Engineering opportunity	Demand-to-company bridge
2026-27 / 100% thematic weight	More high-spec capacitors and substrate area per AI system	Examined 2027 component disclosures have a gross face-value sum of up to 2,096.80888664B won, including the October 6 MLCC contract. Commercial overlap between the two latest anonymous awards is unresolved. The full 8,500B established-component forecast already includes procurement at this scale. [S5/S6/S11/S13]
2028-29 / 50% thematic weight	SiCap, embedded power delivery and glass-enabled packaging	Two-year SiCap contract is phased 600B/957.03452B; subsequent programmes and package expansion require new awards.
2030+ / 20% thematic weight	Higher voltage data centers, robotics and more advanced packages	Conditional 33,139.900B company sales in 2030; no additive robotics or glass TAM windfall.

The 100% / 50% / 20% thematic weights guide thesis assessment. They are not blanket discounts to reported sales, contracts or all forecasts. Programme probabilities below govern only separately identified optionality. Current reported sales calibrate the starting point; they do not cap the future market.

3. Current earnings and management evidence

Q2 2026 revenue was 3,457.2B won, GP 844.5B and operating expenses 404.1B, producing OP 440.4B. Components contributed 1,649.4B, package solutions 771.6B and optics 1,036.2B. Q1 revenue/OP were 3,209.1B/280.6B, including 71.4B retirement provisioning. The issuer deck controls over an erroneous 1,362B optics number in the public transcript. Management expects sequential and annual improvement in Q3 but supplies no numerical consolidated quarterly guidance. Model Q3 revenue is 3,870B, explicitly an estimate. [S1/S2/S3]

Reviewed the displayed April 30 and July 30 speaker sequences, prepared remarks, Q&A and closing. The progression is from growing demand and planned full FCBGA utilization to tight supply, about ten customer MLCC LTAs and new North American network-substrate production. The July call discussed customer-supported capacity; the current signed-support evidence is described below. Silicon capacitors complement MLCCs close to chips. Glass full-scale production is targeted for 2028. Camera programmes for humanoids remain early production/design-in opportunities. [S2/S3]

Both displayed public management-call sequences include Q&A and closing, although the host also labels access as a preview; completeness against the original audio was not independently certified. Deck figures override transcription errors, including optical revenue and capacitance units. No numerical quarterly guidance or independently disclosed customer-level margin was found. Some current securities and contract terms remain confidential; forecast confidence stays LOW where those gaps matter.

Customer-supported FCBGA expansion

The September 29 issuer release specifies KRW 6.78T investment: Sejong 4.27T and Vietnam 2.51T. Sejong investment runs to May 2028, with mass production scheduled for September 2028. Vietnam targets operations by June 2030. Customer funding support and multiyear volume guarantees are confirmed, but cash received, customer names, capacity units and contract pricing are not disclosed. [S10]

This strengthens funding and utilization visibility. It does not establish receipt of a prepayment for the framework's first-prepayment score bonus. Keep analytical Base 78 and the current Excel Base 78. The former Excel 75 reference was stale after the prior owner-authorized override removal; this evidence update changes neither score. Existing package revenue already assumes capacity expansion; the support disclosure overlaps that trajectory and adds no separate sales or margin input. The active Q4 2027 price target window ends Q3 2028, containing only the scheduled September 2028 Sejong start, not a full quarter of mature output. Existing recognition timing is retained; construction capacity is not realized sales. Future capex, depreciation, customer-advance liabilities and yield require reconciliation.

Calendar-2027 component contracts and overlap

The October 6 Korean DART filing reports **KRW 285,611,040,000 (285.61104B)** of MLCC supply for January 1-December 31, 2027. USD 210.24M multiplied by the filing's KRW 1,358.50/USD reference reconciles exactly. It was signed October 6 with an unnamed global major customer. The amount and term may change under confidential terms. The deposit/advance field is 무**: none**. This is a supply contract, not quarterly earnings, a cash receipt or new consolidated revenue guidance. [S13]

The September 29 disclosure remains a separately identified source event: MLCC and inductor supply of KRW 285.00304664B, signed September 28, also covering 2027 with no advance payment. Different filing dates, products and face values distinguish the documents, but do not alone establish that their confidential customer programmes are commercially disjoint. No amendment linkage was identified in the supplied October 6 original; contractual non-overlap still requires the customer/order reconciliation. [S11/S13]

Examined disclosure	KRW billions	Interpretation
June 30 MLCC	453.99480000	Earlier examined 2027 supply
September 1 MLCC	1,072.20000000	Earlier examined 2027 supply
September 29 MLCC / inductor	285.00304664	Prior examined anonymous award
October 6 MLCC	285.61104000	Newly examined anonymous award; commercial overlap unresolved
Gross documentary face-value sum	2,096.80888664	Upper subtotal before any overlap, not verified unique backlog
Existing 2027 established-components forecast	8,500.00000000	Unchanged active revenue forecast

The examined documentary sum would cover about 25% of modeled 2027 established-component sales if all four awards were additive. It is not a complete order book or a basis for adding the gross sum to sales. The two-year SiCap contract belongs to a separate vector and is excluded here.

Rule 16b decision: assign **90% delivery probability** to the October 6 contracted amount over calendar 2027, reflecting signed terms and qualified product, with a 0-285.61104B conditional delivery bound. Unknown cancellation, price-reset and customer terms explain the remaining risk. **Modeled revenue overlap is 100%**: the 8,500B components case already assumes this customer procurement. Incremental sales = 90% x 285.61104B x (1 - 100%) = **0**. Incremental manufacturing cost, opex and OP are also zero. This overlap judgment applies even if the October 6 and September 29 awards prove commercially distinct. No probability is applied again to the price target. The Delta evidence itself does not change component margins, substrate pricing, shares or either Base. The separate October 12 ABF pricing magnitude update is reconciled below.

The next tests are a reconciled customer-order schedule, amendments, 2027 delivery phasing and actual component margins. A contract covering genuinely incremental qualified capacity beyond the existing 8,500B revenue path would require a new revenue/cost bridge. No prepayment score bonus applies because the filing explicitly reports none.

The following original image belongs to the September 29 disclosure; the October 6 terms above were checked against the separate original Korean HTML.



Figure 5. Clearly labeled English summary of the original Korean DART disclosure. This graphic is an explanatory transcription, not a company-created exhibit. The archived Korean HTML is authoritative; the filing explicitly says no advance payment.

Delta MLCC agreement: credible demand evidence, already covered by the active forecast

The October 9 Korean Hankyung report says Samsung Electro-Mechanics is nearing an approximately **KRW 700B total MLCC agreement with Taiwan's Delta Electronics**. It remains a near-signing report, not a completed issuer contract. The report was revised October 11. The amount is a total agreement value; no Delta-specific delivery years, shipment schedule, price, qualification, margin or cash terms are given. Its discussion of five-year contracts and 20-25% prepayments concerns memory, not this MLCC agreement. [S15]

Rule 16b treatment: 65% probability of completion, with a conditional total value bound of KRW 0-700B. That is a positive probability for credible forward evidence despite incomplete terms. As a bounded timing diagnostic, fully delivering KRW 700B over an assumed one, two or three years would mean KRW 700B, 350B or 233.333333B per year. These are model diagnostics, not sourced contract terms or an adopted delivery forecast.

Incremental economic overlap is 100%. The active established-components forecast already calls for KRW 8,500B in 2027, including KRW 6,403.19111336B beyond the gross KRW 2,096.80888664B face value of the four examined awards. This is an aggregate forecast-coverage judgment: the Delta breadcrumb supports the wider customer procurement already required by that sales path. It does not establish that Delta equals any prior anonymous customer, that the four contracts are commercially disjoint, or that all Delta shipments occur in 2027. Adding the gross agreement again would count demand already allowed for in the operating case.

Delta evidence ledger	Approved treatment
Probability and conditional amount	65%; KRW 0-700B total, subject to signing and delivery
Timing diagnostic only	One to three assumed delivery years; KRW 233.333333-700B/year at full delivery
Overlap reserve	100% against established-components forecast; not a claim of contract identity
Incremental revenue	65% x conditional delivered amount x (1 - 100%) = KRW 0B
Incremental manufacturing cost, opex and OP	KRW 0B each; no separate capacity, pricing or cash assumption added
Valuation and scores	Prior MLCC baseline Q4 2027 KRW 1,302,777.332586261; current after separate ABF update KRW 1,334,335.7013041642. Same20x operating profit, shares, artifact Base78 and Excel Base78.
Revisit triggers	Signed terms, delivery/qualification cadence, incremental unit volume, realized price/margin, advance cash and customer/order reconciliation

A September 20 report described final negotiations with an unnamed power/electronics company for roughly the same MLCC amount. It may be an earlier account of the Delta event; identity is not proven, so it is not independent incremental demand. [S16] The October 9 article's six/seven agreement count and projected KRW 4.6T cumulative orders should also not be read as unique MLCC-only annual sales: the October 6 report describes KRW 3.9T across silicon capacitors, MLCCs and inductors, while the issuer separately cites more than ten customer relationships. [S6/S17]

The evidence review is complete. The missing commercial terms remain an external watch item. The Delta evidence itself adds no sales or profit. The current operating rows include the separate MLCC margin estimate and October 12 ABF pricing magnitude update below. Delta itself changes neither branch; the20x valuation method remains unchanged. The current master Excel Base is 78; correcting the older artifact's 75 reference records an earlier authorized override removal, not a new score change.

Substrate repricing: industry magnitude and a bounded company invoice

TrendForce's dated October 12 public table forecasts **ABF prices rising 10-15% quarter over quarter from Q3 2026 through Q4 2027**, with lead times at 48-56 weeks against a balanced-market 12-week benchmark. The full original's Quick Take column carries the price forecast; the delivered X crop omitted it. This repeats the October 5 industry forecast already modeled for Kinsus. It is one source family, not a second independent demand shock. SEMCO's earlier branch used an 8% total conditional premium rather than this compound industry magnitude. [S19]

Item	Status	Current Lead Time	Balanced Lead Time	Quick Take
CPU	Tight	25–30W	16–20W	Despite the continued expansion of server CPU supply across both mainstream and new platforms, customer orders remain difficult to fulfill.
GPU	Balanced	30-40W	30-40W	NVIDIA and AMD are expected to be shipping mainly Blackwell and MI350, respectively, while their next-generation Rubin and MI450 AI server systems still need time for tuning.
DRAM	Very Tight	20W	8W	PC OEMs' limited ability to absorb the 4Q26 contract price increases is prompting DRAM suppliers to reallocate bit supply from PC DRAM toward server DRAM, primarily to meet demand from US CSPs.
NAND (eSSD)	Tight	16W	8W	As with HDDs, CSPs are looking to secure eSSD supply through 2027. Lead times for eSSDs remain elevated.
HDD	Very Tight	50W	16W	CSPs remain eager to lock in supply with HDD vendors. Lead times show no signs of shortening through 2027.
ABF	Very Tight	48–56W	12W	Capacity additions for ABF substrates are lagging well behind fast-growing demand, which leaves little room for the shortage to ease in the near term. We expect sequential price increases of 10–15% per quarter from 3Q26 through 4Q27.
MLCC	Tight	35W	12W	Smartphone and notebook ODMs are slowing their MLCC inventory build. Consumer-grade MLCC demand is diverging: weak for low-capacitance products, strong for high-capacitance ones.

Status key

Very Tight = severe shortage **Tight** = constrained supply **Tightening** = conditions worsening

Balanced = supply-demand balance **Easing** = conditions improving

Source: TrendForce, Oct 12, 2026

TrendForce

ABF-TF. Complete original TrendForce October 12 supply-chain table, including its Quick Take column. ABF 10-15% sequential quarterly pricing is an industry forecast. Lead times compare with a balanced benchmark, not the prior week. Low-capacitance consumer MLCCs and high-capacitance AI MLCCs have different demand signals.

The older BofA area-based shortage chart remains useful context. Its -4%, -10% and -16% labels for 2026-28 are not SEMCO ASP increases. Its report date and ABF split remain unknown. [S12]



Figure 6. User-supplied BofA-attributed package-substrate area chart, received October 6, 2026; underlying report date unknown. Values below are approximate visual readings. The broad scope prevents treating the deficit as a direct SEMCO price increase.

Probability remains 35%. A higher-ranked source does not establish SEMCO contract terms or scope. The original quarter-specific new/repriceable package cohort remains **0% in Q3 2026, 20% in Q4 2026, 35% / 50% / 65% / 75% across 2027, 80% in 2028, 60% in 2029 and 30% in 2030**. **60% inside that eligible pool**,

bounded at 40-80% for diagnostics, is assumed to capture ABF industry pricing; the other 40% retains the older 8% premium. No extra 25% cohort or multiplier is applied. FCBGA exposure and customer-supported expansion support a bounded proxy, but the exact ABF/BT/BGA revenue and confidential pricing terms are undisclosed. These percentages are labeled assumptions, not measured company shares.

The calculation starts at the **already calibrated Q3 2026 price level**. The five remaining 10% steps give 10%, 21%, 33.1%, 46.41% and 61.051% cumulative premiums. Five 15% steps give an upper 101.136% endpoint. Do not add a sixth increase to Q3. The model has no separate like-for-like ASP/unit vector; reference package growth already combines output, richer mix and profitability. **50% overlap** remains a reserve for that existing progression, not a proved exact measurement.

Counter-evidence on ASP units and geometry: SemiAnalysis's October 12 five-post thread explains that its Japanese series measures value per square metre while its Taiwanese series measures value per piece. A larger substrate raises value per piece even at unchanged value per area; layers, materials and product mix can affect both measures. Therefore the reported tripling of Taiwan's series is not evidence of a threefold like-for-like price increase. The author describes 100 x100mm-plus accelerator bodies as20-50x the area of typical memory/mobile substrates. That comparison is attributed, not a measured SEMCO product mix. Five original texts were read; attached charts await separate inspection. [S20]

The retained forecast is a bounded ABF repricing scenario on the existing new/repriceable cohort, **not observed company-wide ASP**. The35%probability and50%overlap reserve remain. Larger area, extra process steps and lower yields can reduce good-unit capacity, so neither nominal floor area nor units alone establishes saleable output. No separate size, area, volume or capacity shock is added, and the reference output/mix and cost bridge are unchanged.

The source stops at Q4 2027. The 2028 ABF premium is an explicit persistence-and-competition assumption: 8% plus the Q4 2027 residual above 8%, multiplied by 87.5%, 75%, 62.5% and 50% during the four 2028 quarters. No new source-price extension enters 2029 or 2030; the original 8% premium and existing 60%/30% eligibility tail remain. Q3 2026 operating amounts are unchanged.

Replace the existing branch; do not add it again. Conditional price sales = reference package sales x eligible share x (60% x ABF price premium + 40% x 8%) x (1 - 50% overlap). Apply the single 35% probability. Existing manufacturing, depreciation and operating costs remain. Additional materials, qualification, processing and service costs consume **30% of incremental price dollars** and group opex consumes another **12% through 2028**. Only 58% reaches OP. There are no new units, utilization, plant, customer funding, shares or valuation multiple changes. The MLCC 30% joint margin case remains separately intact.

Q4 2027-Q3 2028 price bridge	KRW billions
Previous conditional price sales after overlap	190.080000
Revised conditional price sales after overlap	793.269870
Previous weighted price sales	66.528000
Revised weighted price sales	277.644455
Incremental weighted price sales	211.116455
Additional GP after production cost	147.781518
Additional opex	25.333975
Additional OP versus previous saved case	122.447544

The same Q4 2027 ceiling moves from **KRW 1,302,777.332586 to 1,334,335.701304**, a **+2.422392%** economic revision. The existing 20x operating-profit method, 77.600680M shares, analytical Base 78 and Excel Base 78 are retained. The new ABF magnitude changes only the original eligible pool. The additional price contribution fades during 2028 and ends before 2029; outer windows recover the prior operating path. Missing company cohort and pricing evidence remains material.

MLCC mix and margin: one probability-weighted operating outcome

The supplied original excerpt forecasts AI MLCC revenue mix of **21% / 32% / 39% in 2026 / 2027 / 2028**, revised from 20% / 26% / 32%. It forecasts overall MLCC operating margins of **20% / 31% / 37%**, previously 18% / 28% / 35%. It links the expected benefit to supply tightness, like-for-like pricing and stronger high-margin product mix, including **47 microfarad (47 uF)** AI MLCC orders. The unit is microfarads, not picofarads. Approximately one quarter of its estimated 2027 MLCC sales is described as covered by announced long-term agreements. These are an unidentified broker's estimates, not issuer guidance. The author's identity and report date are not visible. The original was received October 12, 2026. [S18]

Significant increase in AI MLCC mix to elevate revenue and margin: We believe SEMCO's MLCC revenue and OP will sustain a solid growth trajectory despite the recent KRW appreciation, driven by ongoing tightness of MLCC supply leading to favorable ASP and better product mix from high-margin AI MLCC sales. Recently disclosed MLCC orders demonstrate this supplier-driven market (Exhibit 3), as customers are signing LTA contracts for MLCC supplies for 2027, which in total already account for roughly a quarter of our estimated MLCC revenue for 2027. As we believe most of these 2027 orders that have been disclosed were AI MLCC orders with higher margins and ASP, we revise up our AI MLCC revenue mix to 21%/32%/39% for 2026/2027/2028 (from 20%/26%/32% previously). We believe the primary drivers for this is both the meaningful increase in MLCC content per AI server as well as the ASP expansion coming from both the like-for-like price increase and product mix improvement within AI with strong orders for 47µF AI MLCCs. We also raise our overall MLCC OPM estimates to 20%/31%/37% for 2026/2027/2028 (18%/28%/35% previously) given the higher AI MLCC mix and the stronger pricing power we believe the company will likely possess.

Figure 7. Complete supplied MLCC forecast excerpt. Author and report date are not visible. Forecast percentages are attributed estimates, not reported results. The highlighted LTA coverage has the broker MLCC-revenue denominator, not total company sales.

The issuer's July 30 earnings deck reports capacitors as 92% of component sales and describes growth in AI-server, network and power applications. Capacitors include silicon and other capacitors; **92% is not an exact MLCC share**. An **80% MLCC share of the existing component vector**, bounded at 60-92% for diagnostics, is a LOW-confidence modeling proxy. The separately modeled new SiCap vector is excluded. [S1]

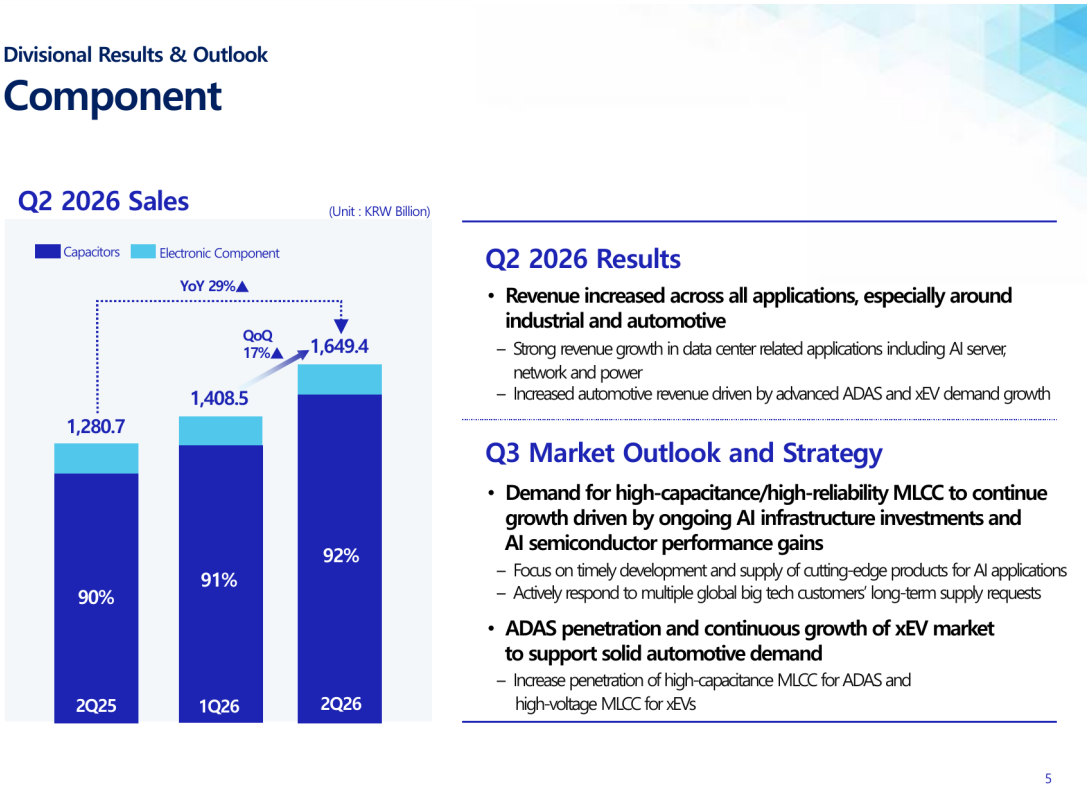


Figure 8. Original issuer Q2 2026 component slide, dated July 30. Its 92% capacitor category is broader than MLCC. The model uses an explicitly assumed 80% MLCC exposure rather than relabeling this historical category as an exact forward MLCC share.

Rule 16b outcome and probability: assign **30% probability** to a joint 2027-28 outcome in which qualified AI MLCC mix, pricing and yields support the excerpt's 31% / 37% MLCC operating margins. This is one correlated outcome, not three independent benefits. Issuer demand evidence supports exposure, but it does not verify the excerpt's forecasts, customer-level margins or author. Source uncertainty, currency appreciation, competing capacity, material costs and qualification risk explain the 30% weight.

The current established-component case already has 40% / 43% gross margins in 2027 / 2028, with 12% allocated group opex. Its pooled operating-margin proxy is therefore **28% / 31%**. The MLCC outcome first subtracts these existing margins. The remaining gross residual is **3 / 6 percentage points**, before an additional **0.35 points of manufacturing, qualification and depreciation cost** and **0.15 points of engineering and service opex** on the scoped MLCC sales. The net conditional

increment is **2.5 / 5.5 points**. Existing ordinary manufacturing cost, depreciation and group opex remain expensed; the 0.5-point allowance is additional incremental cost.

Revenue overlap is 100% for the LTA evidence. Existing component revenue is already 8,500B in 2027 and 11,000B in 2028. No orders, units, revenue or customer prepayments are added. **Additional margin overlap is 0% after subtracting the existing 28% / 31% pooled margin proxy**. Applying another generic haircut would subtract the same baseline progression twice. The price, mix and qualification arguments are combined jointly, and the separate substrate pricing case is reconciled above without changing this MLCC margin treatment.

At each applicable quarter: scoped MLCC sales = existing component sales x 80%; conditional GP increment = scoped sales x (source MLCC OPM - existing pooled OPM - 0.35%); conditional extra opex = scoped sales x 0.15%; active GP and opex increments each receive the single 30% probability. Active OP is their difference. This is an economic proxy because disclosed MLCC-specific overhead allocation is unavailable, not a claim that pooled component accounting exactly equals MLCC segment accounting.

Timing and justified zeros: calendar 2027 and 2028 use the existing 22% / 24% / 26% / 28% component sales phasing, with no additional quarterly timing assumption. There is no 2026 increment: an annual 20% margin forecast cannot identify the remaining quarters' margin and the existing H2 economics are separately calibrated. There is no 2029+ increment: the supplied margin forecast ends in 2028, so the new branch explicitly sunsets. The zero beyond that window is a horizon limit, not an official-confirmation requirement.

Active Q4 2027-Q3 2028 margin bridge	KRW billions
Conditional GP benefit after extra manufacturing cost	408.440000
Conditional extra engineering/service opex	12.360000
Conditional OP increment	396.080000
Probability-weighted GP increment	122.532000
Probability-weighted extra opex	3.708000
Probability-weighted OP increment	118.824000
Incremental revenue	0.000000

The next tests are the dated original report, exact MLCC sales scope, realized high-capacitance mix/ASP, qualified output and production costs. Independent company or customer pricing/margin evidence could support moving probability toward 50%. Margin misses, currency/input costs or delayed qualifications would support reducing it toward 15%; contrary contract or profitability evidence can remove the increment. Neither direction changes the protected Base score automatically.

4. Local evidence and calibration packet

Korean-first review confirms the September agreement and distinguishes 억 (100 million won) from billions. The issuer reports over 40% share in AI-server MLCC; this is a company claim for a subset, not independently verified share of all MLCCs. Its cited third-party market forecast is context only and does not mechanically set revenue. The most direct AH12 demand bridge is signed customer procurement with explicit dates: MLCC 2027 and SiCap 2027-28. Named customer capex-to-content allocations are confidential; use LOW confidence beyond these contracts, not assumed hyperscaler spending shares. July's Busan 15T plan spans through 2040 and cannot be assigned to 2026 alone. Q2 cash from operations 556.8B versus tangible/intangible investment 603.9B implies approximately -47.1B simple FCF. This makes yield and cash returns on new capacity essential. [S1/S4/S5/S6/S8]

5. Summing thesis score

Category	Points / maximum	Evidence
Core Thesis	17/20	Qualified capacitor and substrate processing has durable engineering barriers.
Cycle Stage	9/10	Current tight supply and signed 2027 contracts.
TAM Expansion	9/10	Power density, SiCap and glass broaden content; capture remains conditional.
Catalysts	5/5	Dated contracts and 2028 glass schedule.
Macro	8/10	AI and auto demand offset mobile cyclicality and currency/material risks.
Alpha	4/5	Contract phasing and product complexity are underappreciated execution variables.
Risks	-5	Five distinct risk classes.

Sum: 47/60 × 100 = 78.333333%, conventionally rounded to 78%. This advisory thesis score does not replace any portfolio Base override. The separate risk classes below total the displayed deduction; holding status and classification do not waive that deduction.

6. Revenue sources, capture and product margins

The four invoice vectors stay separate. The package pricing branch changes only scoped price sales and dependent GP/opex. Reference package output/mix, component sales, new SiCap contracts and optics remain unchanged.

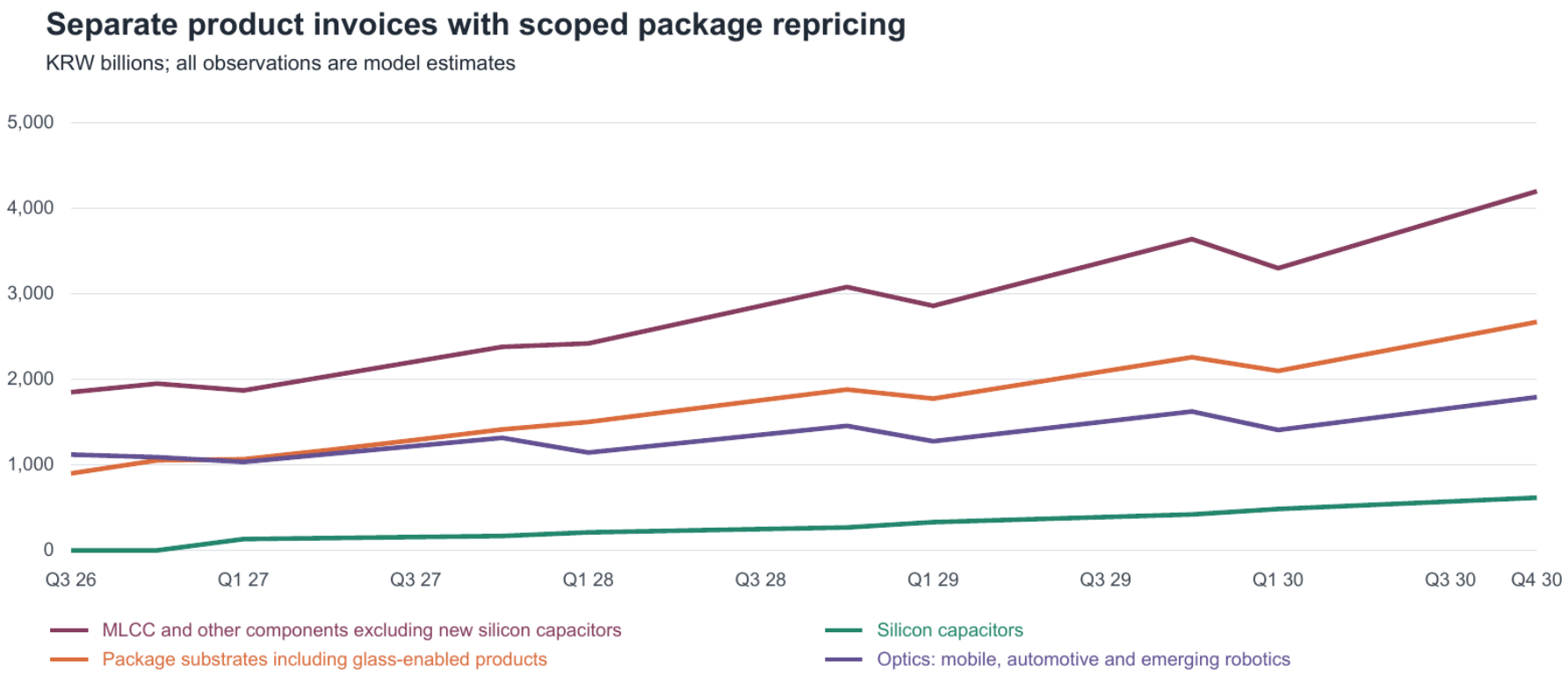


Figure 1. Four non-overlapping modeled revenue vectors. The ABF price outcome is inside package revenue. AI MLCC margin evidence adds no separate sales.

Quarter	Components	New SiCap	Packages	Optics	Total KRW bn
Q3 2026	1,850.000	0.000	900.000	1,120.000	3,870.000
Q4 2026	1,950.000	0.000	1,053.381	1,090.000	4,093.381
Q1 2027	1,870.000	132.000	1,066.219	1,034.000	4,102.219
Q2 2027	2,040.000	144.000	1,175.244	1,128.000	4,487.244
Q3 2027	2,210.000	156.000	1,292.073	1,222.000	4,880.073
Q4 2027	2,380.000	168.000	1,414.261	1,316.000	5,278.261
Q1 2028	2,420.000	210.548	1,501.775	1,144.000	5,276.323

Quarter	Components	New SiCap	Packages	Optics	Total KRW bn
Q2 2028	2,640.000	229.688	1,629.611	1,248.000	5,747.299
Q3 2028	2,860.000	248.829	1,755.997	1,352.000	6,216.826
Q4 2028	3,080.000	267.970	1,880.936	1,456.000	6,684.906
Q1 2029	2,860.000	330.000	1,774.784	1,276.000	6,240.784
Q2 2029	3,120.000	360.000	1,936.128	1,392.000	6,808.128
Q3 2029	3,380.000	390.000	2,097.472	1,508.000	7,375.472
Q4 2029	3,640.000	420.000	2,258.816	1,624.000	7,942.816
Q1 2030	3,300.000	484.000	2,098.778	1,408.000	7,290.778
Q2 2030	3,600.000	528.000	2,289.576	1,536.000	7,953.576
Q3 2030	3,900.000	572.000	2,480.374	1,664.000	8,616.374
Q4 2030	4,200.000	616.000	2,671.172	1,792.000	9,279.172

V1. MLCC and other components excluding new silicon capacitors

Component GP includes the unchanged probability-weighted MLCC margin case.

Quarter	Anchor KRW bn	Reference factor	Active revenue	Active GM	Active GP
Q3 2026	1,649.400	1.121620	1,850.000	35.000%	647.500
Q4 2026	1,649.400	1.182248	1,950.000	37.000%	721.500
Q1 2027	1,649.400	1.133746	1,870.000	40.636%	759.893
Q2 2027	1,649.400	1.236813	2,040.000	40.636%	828.974
Q3 2027	1,649.400	1.339881	2,210.000	40.636%	898.056
Q4 2027	1,649.400	1.442949	2,380.000	40.636%	967.137
Q1 2028	1,649.400	1.467200	2,420.000	44.356%	1,073.415
Q2 2028	1,649.400	1.600582	2,640.000	44.356%	1,170.998
Q3 2028	1,649.400	1.733964	2,860.000	44.356%	1,268.582
Q4 2028	1,649.400	1.867346	3,080.000	44.356%	1,366.165

Quarter	Anchor KRW bn	Reference factor	Active revenue	Active GM	Active GP
Q1 2029	1,649.400	1.733964	2,860.000	44.000%	1,258.400
Q2 2029	1,649.400	1.891597	3,120.000	44.000%	1,372.800
Q3 2029	1,649.400	2.049230	3,380.000	44.000%	1,487.200
Q4 2029	1,649.400	2.206863	3,640.000	44.000%	1,601.600
Q1 2030	1,649.400	2.000728	3,300.000	44.000%	1,452.000
Q2 2030	1,649.400	2.182612	3,600.000	44.000%	1,584.000
Q3 2030	1,649.400	2.364496	3,900.000	44.000%	1,716.000
Q4 2030	1,649.400	2.546381	4,200.000	44.000%	1,848.000

V2. Silicon capacitors

Revenue remains the same reported anchor and modeled conversion path.

Quarter	Anchor KRW bn	Reference factor	Active revenue	Active GM	Active GP
Q3 2026	1.000	0.000000	0.000	25.000%	0.000
Q4 2026	1.000	0.000000	0.000	25.000%	0.000
Q1 2027	1.000	132.000000	132.000	40.000%	52.800
Q2 2027	1.000	144.000000	144.000	40.000%	57.600
Q3 2027	1.000	156.000000	156.000	40.000%	62.400
Q4 2027	1.000	168.000000	168.000	40.000%	67.200
Q1 2028	1.000	210.547594	210.548	43.000%	90.535
Q2 2028	1.000	229.688285	229.688	43.000%	98.766
Q3 2028	1.000	248.828975	248.829	43.000%	106.996
Q4 2028	1.000	267.969666	267.970	43.000%	115.227
Q1 2029	1.000	330.000000	330.000	44.000%	145.200
Q2 2029	1.000	360.000000	360.000	44.000%	158.400
Q3 2029	1.000	390.000000	390.000	44.000%	171.600

Quarter	Anchor KRW bn	Reference factor	Active revenue	Active GM	Active GP
Q4 2029	1.000	420.000000	420.000	44.000%	184.800
Q1 2030	1.000	484.000000	484.000	44.000%	212.960
Q2 2030	1.000	528.000000	528.000	44.000%	232.320
Q3 2030	1.000	572.000000	572.000	44.000%	251.680
Q4 2030	1.000	616.000000	616.000	44.000%	271.040

V3. Package substrates including glass-enabled products

Package reference output/mix is unchanged. Weighted scoped price revenue and GP replace the former premium once.

Quarter	Anchor KRW bn	Reference factor	Active revenue	Active GM	Active GP
Q3 2026	771.600	1.166407	900.000	25.000%	225.000
Q4 2026	771.600	1.360809	1,053.381	27.138%	285.867
Q1 2027	771.600	1.368585	1,066.219	30.383%	323.954
Q2 2027	771.600	1.493002	1,175.244	30.791%	361.871
Q3 2027	771.600	1.617418	1,292.073	31.364%	405.251
Q4 2027	771.600	1.741835	1,414.261	31.987%	452.383
Q1 2028	771.600	1.853292	1,501.775	34.768%	522.143
Q2 2028	771.600	2.021773	1,629.611	34.580%	563.527
Q3 2028	771.600	2.190254	1,755.997	34.391%	603.898
Q4 2028	771.600	2.358735	1,880.936	34.199%	643.255
Q1 2029	771.600	2.280975	1,774.784	35.292%	626.349
Q2 2029	771.600	2.488336	1,936.128	35.292%	683.290
Q3 2029	771.600	2.695697	2,097.472	35.292%	740.230
Q4 2029	771.600	2.903059	2,258.816	35.292%	797.171
Q1 2030	771.600	2.708657	2,098.778	35.146%	737.645
Q2 2030	771.600	2.954899	2,289.576	35.146%	804.703

Quarter	Anchor KRW bn	Reference factor	Active revenue	Active GM	Active GP
Q3 2030	771.600	3.201140	2,480.374	35.146%	871.762
Q4 2030	771.600	3.447382	2,671.172	35.146%	938.820

V4. Optics: mobile, automotive and emerging robotics

Revenue remains the same reported anchor and modeled conversion path.

Quarter	Anchor KRW bn	Reference factor	Active revenue	Active GM	Active GP
Q3 2026	1,036.200	1.080872	1,120.000	14.000%	156.800
Q4 2026	1,036.200	1.051920	1,090.000	14.000%	152.600
Q1 2027	1,036.200	0.997877	1,034.000	17.000%	175.780
Q2 2027	1,036.200	1.088593	1,128.000	17.000%	191.760
Q3 2027	1,036.200	1.179309	1,222.000	17.000%	207.740
Q4 2027	1,036.200	1.270025	1,316.000	17.000%	223.720
Q1 2028	1,036.200	1.104034	1,144.000	18.000%	205.920
Q2 2028	1,036.200	1.204401	1,248.000	18.000%	224.640
Q3 2028	1,036.200	1.304767	1,352.000	18.000%	243.360
Q4 2028	1,036.200	1.405134	1,456.000	18.000%	262.080
Q1 2029	1,036.200	1.231423	1,276.000	19.000%	242.440
Q2 2029	1,036.200	1.343370	1,392.000	19.000%	264.480
Q3 2029	1,036.200	1.455318	1,508.000	19.000%	286.520
Q4 2029	1,036.200	1.567265	1,624.000	19.000%	308.560
Q1 2030	1,036.200	1.358811	1,408.000	20.000%	281.600
Q2 2030	1,036.200	1.482339	1,536.000	20.000%	307.200
Q3 2030	1,036.200	1.605868	1,664.000	20.000%	332.800
Q4 2030	1,036.200	1.729396	1,792.000	20.000%	358.400

7. Operating-cost bridge and quarterly operating model

Manufacturing GP retains materials, labor and depreciation. Group opex is12% of sales through2028 and11.5% in2029-30. The MLCC case separately adds its existing probability-weighted0.15pp engineering/service cost. ABF incremental price sales also pay group opex; no price dollar is assumed to become profit without cost.

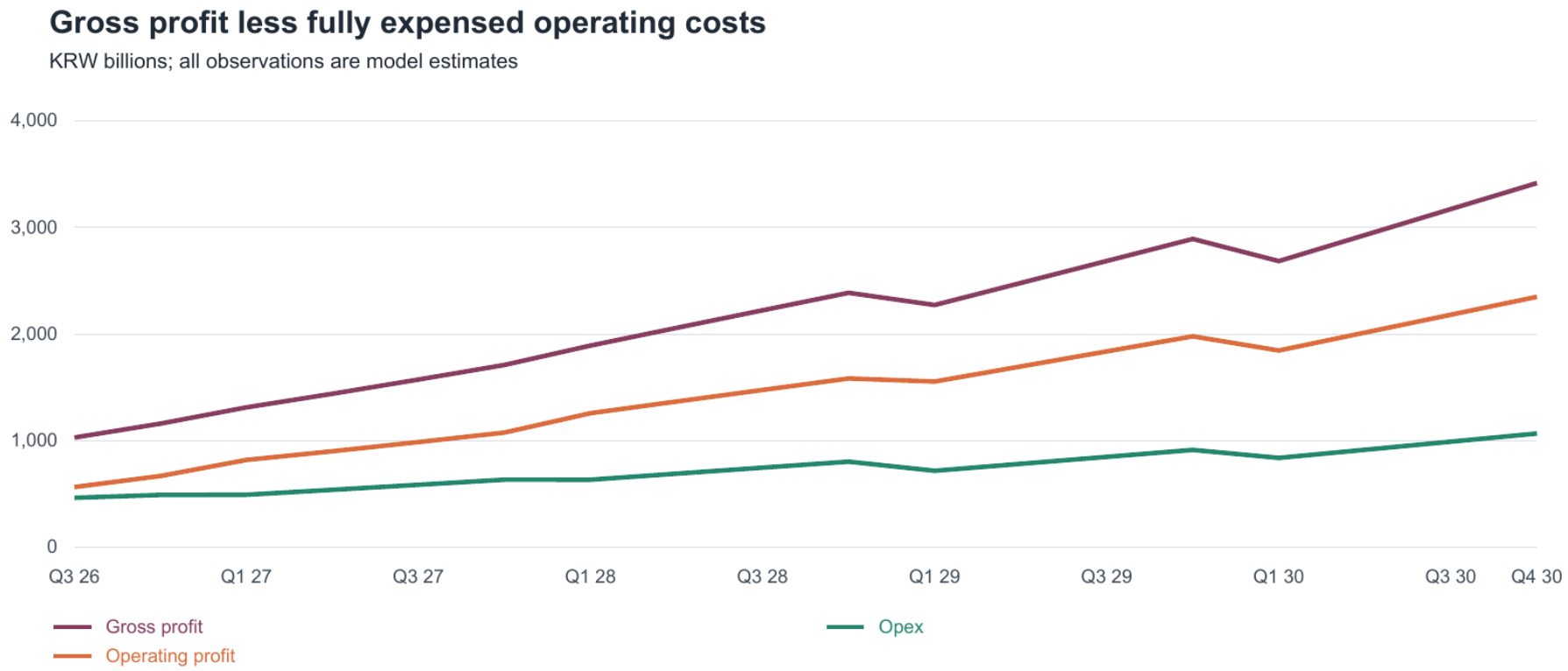


Figure 2. Current modeled GP, opex and OP after separate package price and MLCC margin outcomes. GP includes additional production costs and depreciation.

Quarter	Status	Revenue KRW bn	GP	Opex	OP	OP margin
Q3 2026	Model	3,870.000	1,029.300	464.400	564.900	14.597%
Q4 2026	Model	4,093.381	1,159.967	491.206	668.761	16.338%
Q1 2027	Model	4,102.219	1,312.427	492.940	819.487	19.977%

Quarter	Status	Revenue KRW bn	GP	Opex	OP	OP margin
Q2 2027	Model	4,487.244	1,440.206	539.204	901.002	20.079%
Q3 2027	Model	4,880.073	1,573.447	586.404	987.042	20.226%
Q4 2027	Model	5,278.261	1,710.440	634.248	1,076.191	20.389%
Q1 2028	Model	5,276.323	1,892.013	634.030	1,257.983	23.842%
Q2 2028	Model	5,747.299	2,057.932	690.626	1,367.305	23.790%
Q3 2028	Model	6,216.826	2,222.836	747.049	1,475.788	23.739%
Q4 2028	Model	6,684.906	2,386.727	803.298	1,583.430	23.687%
Q1 2029	Model	6,240.784	2,272.389	717.690	1,554.699	24.912%
Q2 2029	Model	6,808.128	2,478.970	782.935	1,696.035	24.912%
Q3 2029	Model	7,375.472	2,685.550	848.179	1,837.371	24.912%
Q4 2029	Model	7,942.816	2,892.131	913.424	1,978.707	24.912%
Q1 2030	Model	7,290.778	2,684.205	838.439	1,845.765	25.316%
Q2 2030	Model	7,953.576	2,928.223	914.661	2,013.562	25.316%
Q3 2030	Model	8,616.374	3,172.242	990.883	2,181.359	25.316%
Q4 2030	Model	9,279.172	3,416.260	1,067.105	2,349.156	25.316%

8. Multiple, shares and recognition convention

Retain 20× forward four-quarter operating profit. There is no price-based multiple increase and no separate glass or SiCap valuation premium. The expanded opportunity changes operating inputs, while the multiple remains fixed.

Use 77.600680M gross issued common-equivalent shares: 74.693696M common plus 2.906984M preferred, rather than valuing all profit against common shares only. This intentionally includes treasury stock and assumes no cancellation, buyback or new financing. The October 6 DART ownership report independently reconfirms 74,693,696 common and 2,906,984 preferred shares, exactly matching this denominator. Changes of +897 common and -87 preferred in the reporting holder group are trades in existing shares, not issuance or cancellation. [S14] Preferred dividend and valuation rights differ; equal economic units are a conservative simplified OP allocation. GlaSSEM’s 33.8% outside ownership is not extra parent shares; no separate external glass-JV profit is modeled.

The valuation denominator is the price target quarter’s diluted-share proxy. It is not a historical EPS weighted-average assumption disguised as a fully known future capitalization. Unit factor: 1000; this converts the model units to KRW per share. No cash balance, enterprise-value adjustment or after-tax earnings substitution is added to the operating-profit price target.

9. Complete rolling four-quarter price-target derivation



Figure 3. Each target values the stated quarter and next three at20xOP. Q4 2027 is the active horizon. Shares stay77.600680M. No horizon roll or market-price move is treated as a forecast revision.

Target quarter	Exact earnings window	F4Q OP KRW bn	Multiple	Shares M	Target KRW
Q3 2026	Q3 2026 - Q2 2027	2,954.150054	20x	77.600680	761,372.207975
Q4 2026	Q4 2026 - Q3 2027	3,376.292337	20x	77.600680	870,170.812041
Q1 2027	Q1 2027 - Q4 2027	3,783.722840	20x	77.600680	975,177.753597
Q2 2027	Q2 2027 - Q1 2028	4,222.218966	20x	77.600680	1,088,191.228768
Q3 2027	Q3 2027 - Q2 2028	4,688.522639	20x	77.600680	1,208,371.534691

Target quarter	Exact earnings window	F4Q OP KRW bn	Multiple	Shares M	Target KRW
Q4 2027	Q4 2027 - Q3 2028	5,177.267888	20x	77.600680	1,334,335.701304
Q1 2028	Q1 2028 - Q4 2028	5,684.505988	20x	77.600680	1,465,066.024754
Q2 2028	Q2 2028 - Q1 2029	5,981.221227	20x	77.600680	1,541,538.354295
Q3 2028	Q3 2028 - Q2 2029	6,309.950635	20x	77.600680	1,626,261.686226
Q4 2028	Q4 2028 - Q3 2029	6,671.534223	20x	77.600680	1,719,452.515954
Q1 2029	Q1 2029 - Q4 2029	7,066.812000	20x	77.600680	1,821,327.338884
Q2 2029	Q2 2029 - Q1 2030	7,357.878490	20x	77.600680	1,896,343.818121
Q3 2029	Q3 2029 - Q2 2030	7,675.405570	20x	77.600680	1,978,179.977289
Q4 2029	Q4 2029 - Q3 2030	8,019.393240	20x	77.600680	2,066,835.816387
Q1 2030	Q1 2030 - Q4 2030	8,389.841500	20x	77.600680	2,162,311.335416

- **Q3 2026:** (564.900000 + 668.760980 + 819.487275 + 901.001798) x20 x1000 / 77.600680 = **761,372.207975 KRW/share**.
- **Q4 2026:** (668.760980 + 819.487275 + 901.001798 + 987.042283) x20 x1000 / 77.600680 = **870,170.812041 KRW/share**.
- **Q1 2027:** (819.487275 + 901.001798 + 987.042283 + 1,076.191483) x20 x1000 / 77.600680 = **975,177.753597 KRW/share**.
- **Q2 2027:** (901.001798 + 987.042283 + 1,076.191483 + 1,257.983401) x20 x1000 / 77.600680 = **1,088,191.228768 KRW/share**.
- **Q3 2027:** (987.042283 + 1,076.191483 + 1,257.983401 + 1,367.305472) x20 x1000 / 77.600680 = **1,208,371.534691 KRW/share**.
- **Q4 2027:** (1,076.191483 + 1,257.983401 + 1,367.305472 + 1,475.787532) x20 x1000 / 77.600680 = **1,334,335.701304 KRW/share**.
- **Q1 2028:** (1,257.983401 + 1,367.305472 + 1,475.787532 + 1,583.429583) x20 x1000 / 77.600680 = **1,465,066.024754 KRW/share**.
- **Q2 2028:** (1,367.305472 + 1,475.787532 + 1,583.429583 + 1,554.698640) x20 x1000 / 77.600680 = **1,541,538.354295 KRW/share**.
- **Q3 2028:** (1,475.787532 + 1,583.429583 + 1,554.698640 + 1,696.034880) x20 x1000 / 77.600680 = **1,626,261.686226 KRW/share**.
- **Q4 2028:** (1,583.429583 + 1,554.698640 + 1,696.034880 + 1,837.371120) x20 x1000 / 77.600680 = **1,719,452.515954 KRW/share**.
- **Q1 2029:** (1,554.698640 + 1,696.034880 + 1,837.371120 + 1,978.707360) x20 x1000 / 77.600680 = **1,821,327.338884 KRW/share**.
- **Q2 2029:** (1,696.034880 + 1,837.371120 + 1,978.707360 + 1,845.765130) x20 x1000 / 77.600680 = **1,896,343.818121 KRW/share**.
- **Q3 2029:** (1,837.371120 + 1,978.707360 + 1,845.765130 + 2,013.561960) x20 x1000 / 77.600680 = **1,978,179.977289 KRW/share**.
- **Q4 2029:** (1,978.707360 + 1,845.765130 + 2,013.561960 + 2,181.358790) x20 x1000 / 77.600680 = **2,066,835.816387 KRW/share**.
- **Q1 2030:** (1,845.765130 + 2,013.561960 + 2,181.358790 + 2,349.155620) x20 x1000 / 77.600680 = **2,162,311.335416 KRW/share**.

10. Annual trajectory cross-check

Calendar year	Revenue KRW bn	GP	Opex	OP	OP margin	ABF OP revision
2027	18,747.798	6,036.519	2,252.796	3,783.723	20.182%	63.272664
2028	23,925.354	8,559.508	2,875.002	5,684.506	23.759%	113.401287
2029	28,367.200	10,329.040	3,262.228	7,066.812	24.912%	0.000000
2030	33,139.900	12,200.930	3,811.088	8,389.842	25.316%	0.000000

Annual sums are a reconciliation, not another valuation method. All quantities are modeled; scoped price changes do not establish new accepted production capacity.

11. Sensitivities around the same operating case

Share sensitivity	Shares M	Q4 2027 target KRW
-5%	73.720646	1,404,563.896110
+0%	77.600680	1,334,335.701304
+5%	81.480714	1,270,795.906004
+10%	85.360748	1,213,032.455731

Only the denominator changes above. MLCC diagnostics retain the selected package price case.

MLCC joint probability	Q4 2027 target KRW
0%	1,303,711.227395
15%	1,319,023.464350
30%	1,334,335.701304
50%	1,354,752.017244
100%	1,405,792.807092

MLCC share at30%joint probability	Q4 2027 target KRW
60%	1,326,679.582827
80%	1,334,335.701304

MLCC share at30%joint probability	Q4 2027 target KRW
92%	1,338,929.372391

Package pricing diagnostics retain the separate MLCC margin case. Probability is applied once in the operating bridge, with no second weighting of the target.

Package probability	Q4 2027 target KRW
0%	1,292,832.512515
20%	1,316,548.620395
35%	1,334,335.701304
50%	1,352,122.782214
100%	1,411,413.051912

ABF share of original eligible pool	Q4 2027 target KRW
40%	1,323,816.245065
60%	1,334,335.701304
80%	1,344,855.157543

Industry quarterly rate	Q4 2027 target KRW
10%	1,334,335.701304
15%	1,358,180.837763

These are one-input diagnostics, not independent outcome probabilities. The source industry range does not establish companywideASP. Pricing case0 restores all15prior saved targets; invalid required inputs return#N/A.

12. Programme and probability ledger



Figure 4. The revised price outcome replaces the previous price contribution. Manufacturing and operating costs consume42%through2028. 2028fade andcompanycohort are assumptions.

Quarter	Reference package sales	Eligible	ABF fraction	ABF premium	Blended premium	Price sales	Price OP	OP revision
Q3 2026	900.000	0%	0%	No new source case	8.000%	0.000	0.000	0.000000
Q4 2026	1,050.000	20%	60%	10.000%	9.200%	3.381	1.961	0.255780
Q1 2027	1,056.000	35%	60%	21.000%	15.800%	10.219	5.927	2.926123
Q2 2027	1,152.000	50%	60%	33.100%	23.060%	23.244	13.482	8.804678
Q3 2027	1,248.000	65%	60%	46.410%	31.046%	44.073	25.562	18.975339

Quarter	Reference package sales	Eligible	ABF fraction	ABF premium	Blended premium	Price sales	Price OP	OP revision
Q4 2027	1,344.000	75%	60%	61.051%	39.831%	70.261	40.751	32.566523
Q1 2028	1,430.000	80%	60%	54.420%	35.852%	71.775	41.630	32.340367
Q2 2028	1,560.000	80%	60%	47.788%	31.873%	69.611	40.374	30.240343
Q3 2028	1,690.000	80%	60%	41.157%	27.894%	65.997	38.279	27.300310
Q4 2028	1,820.000	80%	60%	34.526%	23.915%	60.936	35.343	23.520267
Q1 2029	1,760.000	60%	0%	No new source case	8.000%	14.784	8.649	0.000000
Q2 2029	1,920.000	60%	0%	No new source case	8.000%	16.128	9.435	0.000000
Q3 2029	2,080.000	60%	0%	No new source case	8.000%	17.472	10.221	0.000000
Q4 2029	2,240.000	60%	0%	No new source case	8.000%	18.816	11.007	0.000000
Q1 2030	2,090.000	30%	0%	No new source case	8.000%	8.778	5.135	0.000000
Q2 2030	2,280.000	30%	0%	No new source case	8.000%	9.576	5.602	0.000000
Q3 2030	2,470.000	30%	0%	No new source case	8.000%	10.374	6.069	0.000000
Q4 2030	2,660.000	30%	0%	No new source case	8.000%	11.172	6.536	0.000000

Programme / signal	Source and probability	Amount / unit base	Treatment in this model	Escalation / recognition
Package repricing S12/S19	35% subjective economic probability	Original quarter cohort, 60% ABF, lower10%industry steps	50% overlap;30%incrementalmanufacturingcost plusgroupopex; replacesoldbranch once	Raise on documented price resets and realized margin; reduce on fixed-price coverage, input-cost absorption, qualification delays or competing capacity.

Programme / signal	Source and probability	Amount / unit base	Treatment in this model	Escalation / recognition
October 6 MLCC supply	Signed; 90% delivery judgment	KRW 285.61104B during 2027	100% overlap with existing 8,500B components forecast; zero incremental sales/cost/OP. Separate-document commercial overlap unresolved.	Reconciled customer orders, amendments, delivery and margins. No advance payment.
September 29 MLCC / inductor	S11; 90% delivery judgment	285.00304664B won during 2027	100% overlap with existing 8,500B components forecast; revenue / OP increment zero	Amendments, shipment cadence, ASP/mix and termination terms; no advance payment.
September MLCC	Signed; 90% delivery judgment	1,072.2B won during 2027	Included within established components, not additive to annual total	Monitor qualification, shipment cadence and contract amendments.
June MLCC	Signed; 90% delivery judgment	453.9948B won during 2027	Included in same vector; no advance assumed	Named counterparty remains confidential.
SiCap	Signed; 85% delivery judgment	1,557.03452B won over 2027-28	600B then 957.03452B; full amount embedded once	No automatic renewal in contract evidence; later sales explicitly estimated.
Glass venture	Main agreement; 65% 2028 timing judgment	319.1B planned investment; 66.2% ownership	Glass-enabled package sales only from 2028; no captive core double count	Verify legal completion, samples, yield and production qualification.
Sejong / Vietnam FCBGA	Issuer announcement; 75% timing judgment	Project spending is not a sales base	Supports existing package vector; no separate revenue increment	Monitor dated production, funding receipts and net capital burden.
Busan expansion	Long-range plan; LOW annual allocation confidence	15T won over 2026-2040	Capacity context, not sales or 2026 capex	Require dated projects and productive capacity.
Humanoid cameras	Design-in/pilot; 50% scaling judgment	No verified order amount	Modest growth inside optics; no separate dollar award	Volume, ASP and repeat customers required.

Probabilities are subjective model judgments, not observed frequencies. Framework 8 admits credible breadcrumbs before official confirmation and calls for bounded unit, pricing, capture or revenue proxies when direct data are incomplete. An undisclosed amount alone is not grounds for zero probability. Existing glass, FCBGA and camera opportunities are already represented in the product paths, and the pricing bridge above adds only its explicitly non-overlapping price contribution. A distinct later signal can change probability-weighted operating inputs before a signed contract; the bridge must identify overlap, costs and timing. The examined component contracts receive no second haircut because their economics are embedded once. The September 29 contract contributes zero incremental revenue solely because

modeled overlap is 100%.

September contract ledger field	Active treatment
ID / date / source	009150-20260929-MLCC-Inductor / signed Sep 28, filed Sep 29 / S11; original DART report number 20260929800281
Reference already modeled	KRW 8,500B established components in calendar 2027; quarterly product cells E42:E45
Conditional amount / timing	KRW 285.00304664B total in calendar 2027; exact quarterly schedule confidential
Probability / overlap	90% delivery judgment / 100% modeled overlap
Increment / weighted increment	KRW 0B / KRW 0B revenue; KRW 0B OP; zero change attributable to this component contract
Model cells	009150_KS_Q_Model E42:E45 retain the component revenue path; no incremental OP comes from this component contract
No-increment / probability test	At 0%, 90% or 100% delivery probability, p x zero incremental sales is zero; embedded execution risk remains
Cash / score control	No advance payment in S11; no prepayment bonus; artifact Base 78 and current portfolio Excel Base 78; neither changes in this update
Update / counter triggers	Contract amendments, recognized sales/mix, customer credit, delivery dates, input cost and repeated margin misses can change the affected operating inputs

Pricing ledger mapping: ExistingB143/F143/J143/N143retain8%oldpremium,35%probability,50%overlapand30%addedcost. NewABFscope/cohort/rate/fade controlsB228:B237feedbuildA250:S268 andreplaceD151:D159 onlyinQ426-Q428;originalC150:C167remainunchanged. Original2029/30termsremain. PriceGP/revenueflowintoE76:G93andD17:S34; mainL22ownsQ427target. SourceS19doesnotcreateanMLCCpricechange.

Joint MLCC margin ledger [S18]

Signal SEMCO-UNDATED-MLCC-MARGIN, received2026-10-12. Source author/report dateunknown. Source mix, ASP and qualified-yield reasoning are correlated and use one30% outcome. Controls B179/F179/B180/B181/F181/B183/F183; quarterly margin build A201:W219; component GP via F40:F57 and G40:G57; engineering/service cost via N17:N34. Existing reference margin is subtracted before weighting. LTA revenue overlap100%, additional margin overlap0%. New SiCap, optics and all MLCC controls are unchanged. The separate substrate pricing magnitude is reconciled above.

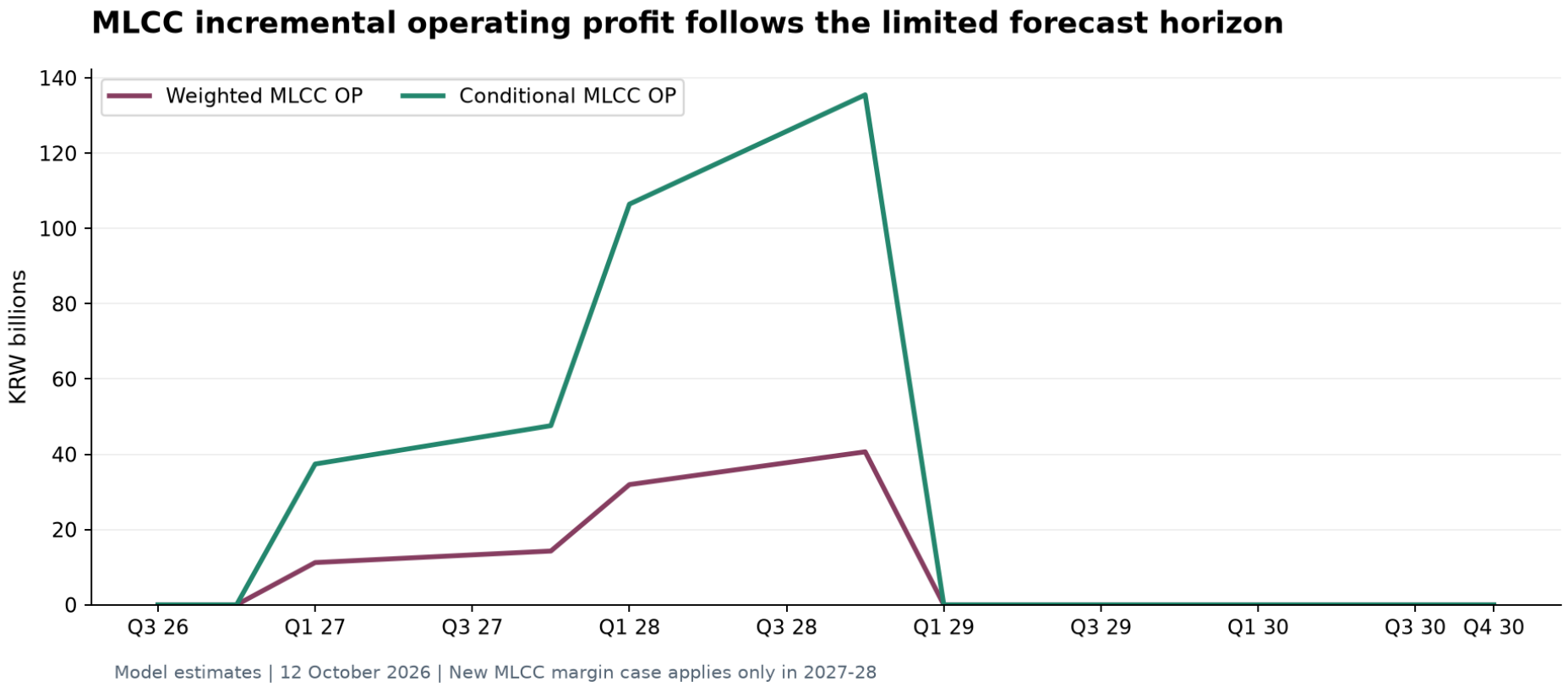


Figure 9. One joint MLCC margin outcome, after incremental manufacturing/qualification/D&A and engineering costs. The30%weight is applied once. No2026or2029+addition is inferred from unavailable source margins.

Quarter	Component sales	MLCC sales proxy	Reference OPM	Conditional OPM	Extra GP	Extra opex	Extra OP
Q3 2026	1,850.000	1,480.000	23.0%	Not sourced	0.000	0.000	0.000
Q4 2026	1,950.000	1,560.000	25.0%	Not sourced	0.000	0.000	0.000
Q1 2027	1,870.000	1,496.000	28.0%	31.0%	11.893	0.673	11.220
Q2 2027	2,040.000	1,632.000	28.0%	31.0%	12.974	0.734	12.240
Q3 2027	2,210.000	1,768.000	28.0%	31.0%	14.056	0.796	13.260
Q4 2027	2,380.000	1,904.000	28.0%	31.0%	15.137	0.857	14.280

Quarter	Component sales	MLCC sales proxy	Reference OPM	Conditional OPM	Extra GP	Extra opex	Extra OP
Q1 2028	2,420.000	1,936.000	31.0%	37.0%	32.815	0.871	31.944
Q2 2028	2,640.000	2,112.000	31.0%	37.0%	35.798	0.950	34.848
Q3 2028	2,860.000	2,288.000	31.0%	37.0%	38.782	1.030	37.752
Q4 2028	3,080.000	2,464.000	31.0%	37.0%	41.765	1.109	40.656
Q1 2029	2,860.000	2,288.000	32.5%	Not sourced	0.000	0.000	0.000
Q2 2029	3,120.000	2,496.000	32.5%	Not sourced	0.000	0.000	0.000
Q3 2029	3,380.000	2,704.000	32.5%	Not sourced	0.000	0.000	0.000
Q4 2029	3,640.000	2,912.000	32.5%	Not sourced	0.000	0.000	0.000
Q1 2030	3,300.000	2,640.000	32.5%	Not sourced	0.000	0.000	0.000
Q2 2030	3,600.000	2,880.000	32.5%	Not sourced	0.000	0.000	0.000
Q3 2030	3,900.000	3,120.000	32.5%	Not sourced	0.000	0.000	0.000
Q4 2030	4,200.000	3,360.000	32.5%	Not sourced	0.000	0.000	0.000

13. Scored risk classes

Risk class	Scored deduction	Mechanism and consequence
Capacity and yield	-1	High-end substrate area/layers absorb capacity; installation is not qualified output.
Competitive pricing and raw materials	-1	Murata and other qualified suppliers compete; metal, energy and glass costs can offset ASP gains.
Customer and contract concentration	-1	Unnamed counterparties and confidential termination terms limit visibility.
Technology adoption	-1	SiCap and glass manufacturing must qualify on schedule; packaging architecture may change.
Capital intensity and financial claims	-1	Expansion consumes cash; preferred shares and subsidiary minorities share economics.

14. Dated catalysts, counters and escalation

1. **Q3 2026 results - Mix and utilization** Check Q3 improvement, ASP, inventories and substrate output against model 3,870B revenue.
2. **January-December 2027 - MLCC and SiCap fulfilment** Reconcile contract shipments to segment growth without counting renewals twice.
3. **2026-27 - Cash and capex** Track operating cash versus expansion spending and productive yield.
4. **2028 - Glass commercialization** Reassess the probability and recognition schedule as yield and qualification evidence arrives; the present 2028 ramp is already a forward estimate.
5. **Every earnings release - Margin and concentration** Persistent gross margin below model or undisclosed contract delays require revised capture.
6. **September 2028 / June 2030 - New FCBGA facilities** Track Sejong and Vietnam commissioning separately from glass commercialization. No early revenue pull-forward from construction milestones.
7. **Q4 2026-2028 - Substrate contract repricing** Compare realized package mix, margins and cost inflation with the active premium. Faster capacity response or rigid price terms reduce the eligible fraction.
8. **2027-28 - MLCC margin conversion** Check qualified47uFmix, realized pricing, currency/material cost and production yield against the joint margin outcome. Retrieve exactMLCCsales and the dated source report before increasing confidence.

15. Cross-book monitoring

Murata competes in high-reliability MLCCs, while Three-Circle competes at different specifications and materials. Jianghai addresses larger capacitors with different electrical roles. Kingboard and other laminates feed packaging and boards rather than earning SEMCO's finished-component margin. AMD/Intel/MediaTek and hyperscaler designs can drive substrate demand, but confidential SEMCO counterparties are not named by inference.

16. Source register and model limits

S11 - DART original Korean: single sales/supply contract (2026-09-29; signed 2026-09-28). MLCC and inductors; KRW 285,003,046,640; January-December 2027; confidential global counterparty; no advance payment. Original Korean HTML preserved and decoded as CP949. The published contract amount/period can change under its terms.

S1 - Q2 issuer earnings deck (2026-07-30). Reported totals, segment sales, cash flow and balance sheet.

S2 - Q1 management call (2026-04-30). Displayed speaker sequence reviewed through closing.

S3 - Q2 management call (2026-07-30). Displayed speaker sequence reviewed through closing; public-transcript limitations apply.

S4 - Silicon capacitor supply disclosure (2026-05-20). 1,557.03452B won over 2027-28; customer confidential, no advance.

S5 - MLCC supply disclosure (2026-06-30). 453.9948B won for calendar 2027; terms subject to change.

S6 - Korean issuer: largest MLCC supply agreement (2026-09-01). 1,072.2B won for 2027 and approximately ten customer LTAs.

S7 - Glass joint-venture investment disclosure (2026-07-02). 319.1B investment for 66.2% interest in 482.1B capitalized venture.

S8 - Busan investment strategy (2026-07-03). Approximately 15T won over 2026-2040; long-range plan, not current annual capex.

S9 - Issuer sustainability share-capital register (2024 reporting baseline; checked 2026-09-18). 74.693696M common plus 2.906984M preferred; conservative gross issued-share proxy, no treasury cancellation benefit.

S10 - Issuer FCBGA expansion announcement (2026-09-29). Site investment, production timing, customer support and volume commitments.

S15 - Original Korean Hankyung report on long-term agreements (October 9, 2026; revised October 11). Reports near-signing Delta MLCC agreement of approximately KRW 700B. Original total-value, status and missing-term distinctions are preserved. A syndicated English version is the same reporting, not independent confirmation. The packet's X source is 2108447414730510454, UTC October 9, with a timezone-unspecified October 8 display.

S16 - Digital Times original reporting carried by Daum (September 20, 2026). Earlier anonymous global power/electronics counterparty negotiation around KRW 700B for AI-server MLCCs. Potential same-event overlap; no proven identity.

S17 - Yonhap October 6 supply-agreement report (October 6, 2026). Sixth announced agreement and rounded KRW 3.9T cumulative scope across silicon capacitors, MLCCs and inductors. The exact October 6 contract amount remains controlled by S13's original DART filing.

Outer-year sales, margins and shipment phasing are LOW-confidence analyst forecasts. The 20× calculation is an operating-profit price target, not after-tax EPS or a market-price target. Existing subsidiary minority interests are not allocated by segment; consolidated OP may overstate parent economics. Glass internal transfers are eliminated and no standalone GlaSSEM external sales are added. Future customer names, completed funding and exact future capacity are not inferred from confidential contracts.

Workbook: v3_2_master_portfolio.xlsx, model tab 009150_KS_Q_Model. It owns portfolio ranking, prices and return calculations; those are intentionally outside this artifact. **Current artifact:** 009150KS_SamsungElectroMechanics_DeepDive.md and its self-contained PDF in the root Artifacts folder. **Original snapshot:** versions/originals/009150KS_SamsungElectroMechanics_DeepDive.md. Superseded history is retained separately in VERSION_LOG, not in this current-state model.

S12: User-supplied screenshot, received October 6, 2026, attributed to BofA Global Research; underlying report date not visible. Repost: https://x.com/pequityresearch/status/2107235130146431472 . Original file: codex-clipboard-218a631c-f743-44e1-a9fb-cad88b7ee387.png. Chart scope is semiconductor package-substrate area; ratio definitions require the original report.

- **S13 | October 6, 2026 | Original Korean DART MLCC supply disclosure:** DART receipt 20261006800130. Original EUC-KR HTML decoded directly. KRW 285.61104B, calendar-2027 term, no advance, customer confidential. DOT-EARNINGS-20261006 revision 2; original HTML SHA-256 c0ad6fa87ef57285ce5791c6284c89b3517f328e017cca1a01886e6e831a0245.
- **S14 | October 6, 2026 | DART shareholding disclosure:** DART receipt 20261006800096. Common and preferred outstanding totals reconcile to the existing economic-share proxy; holder transactions do not change company shares.

S18 - Owner-supplied original MLCC forecast excerpt, received October12,2026. File HUZrhUcW0AAPT1J.png; SHA-256 f3c2630b8197d5c63fe2781bbf1a359305c4bac21635c182ab17493f7ed2a4a5. Author/report date unknown. AI MLCCmix21/32/39%2026/27/28; overall MLCCOPM20/31/37%, with prior18/28/35%. The issuer deckS1 is separate exposure evidence, not verification of these forecasts. Original source image embedded at point of use.

S19 - TrendForce Weekly Radar 005, October 12, 2026. Original public 2048 x1838 chart: ABF10-15%QoQ from Q3 2026 through Q4 2027;48-56-weeklead times. SHA-256: 88b46fb02a530f18619c8cd587d090aacace902e8bd85b34f451af383c25d87e. This repeats the October 5 forecast; no independent second-source weight.

S20 - SemiAnalysis five-post thread, October12,2026. Text reviewed; charts pending.